

Part Two

Application of Conflict of law in Specific Areas of Law

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Introduction

- . In this part we will be dealing with rules and principles of conflict of laws as applied on specific area of laws.
- .This part deals mainly with conflict of law rules and principles governing transactions in Contracts, non contractual obligations, property including succession, status including marriage and children, and finally we will be dealing with rules governing Agency ,Companies and Partnerships.
- .We will make cross reference to the general principles you learned in part one. Therefore, you should try to relate what you learned in the general part to each of the topics under discussion here under.

Chapter Five

Contractual Obligations

5.1. Choice of Applicable Law in Contract

- .A contract in which foreign elements are involved is one of the most complicated areas in private international law.
- . This complexity results in part from the wide uses of contracts, the lawyer's universal tool in business and personal affairs.
- .Realizing the problem different attempts are made to harmonize the governing laws in contract on international level
- .Significant stapes is the 1980 Rome convention on Law applicable to Contractual obligations which has mandatory application in EU member states.

Choice of Applicable Law in Contract

- .No internationally accepted rules governing contractual relations containing a foreign element judges face problem.
- .In Ethiopia, the problem is far worse than any country because of absence of any formally adopted conflict of law rules to resolve such disputes.

5.2. Doctrine of the proper law of Contract

- .Defined as “that law which ... a court is to apply in determining the obligations under the contract”.
- .Not all the matters affecting the contract are governed by one system of law.
- .But in all cases there is a primary system of law called the ‘**proper law**’ which usually **governs most matters** affecting the formation and substance of the contract.
- .The problem of ascertaining the *lex causae* is more complicated in the case of contract than in almost any other legal topic. b/c of multifarious connection.

.Multiplicity of connecting factors in contract :
.the place where it is made; the place of performance; the domicile; nationality or business center of the parties; the situation of the subject matter and so on.
.So which one is determinant of the proper law?

5.2.1. Ascertainment of the Proper Law

1. The US Approach Under Second Restatement

.Contractual obligations in principle shall be governed by **the law of the state chosen by the parties** unless this law is contrary to the public policy of the forum court.

.Parties can agree on issues in contract law that are included in permissive provisions in exclusion of mandatory provisions which cannot be agreed otherwise by the parties.

.For instance the parties are free to determine the place time and mode of performance.

- .Parties could not agree on mandatory provisions of contract law, they are not free to agree in a way they want.
- . Examples of such questions are those involving capacity, formalities and substantial validity.
- . **When do we say parties made choice?**
 - _When they expressly stated or
 - _ when they used provisions of that law in their contract.

.Limitation:

- .The parties cannot arbitrarily choose the law of a state they like. They must have a reasonable basis to select the law of a certain state.
- .When the state of the chosen law has some **substantial relationship** to the parties or the contract, the parties will be held to have had a reasonable basis for their choice.
- .E.g. Place of performance, place of domicile of one of the parties, place of business, place of making contract(unless it was fortuitous).

.What if the parties did not choose applicable law?

.In the absence of effectively chosen law by the parties the governing law shall be the law which has **the most significant relationship** to the transaction and the parties taking in to consideration various points of contact like:

- Place of contracting, place of negotiation of the contract, place of performance,
- the location of the subject matter of the contract and
- the domicile, nationality, place of incorporation and place of business of the parties.

2.The English Approach

.Under English law determination of the proper law of contract depends up on whether the parties have expressly chosen the proper law or not.

□ **Where There is Express Choice of the Proper Law**

.The parties may declare their common intention

-either by simple statement that the contract shall be governed by the law of country X, or

- by a provision that any question arising between them shall be settled by a judge or an arbitration in that country.

.*Principle: qui elegit judicem elegit jus*, which means ‘an express choice of a tribunal is an implied choice of the proper law’.

- .May they choose any law in the world however alien it may be to the factual character of the contract?
- .No. Unless, of course, it is also the proper law according to the **objective standard**.

.Where There is no Express Choice of the Proper Law

.We infer from the terms and circumstances of the contract what their common intention *would have been* had they considered the matter at the time when the contract was made.

.Here the court imputes to the parties an intention to stand by the legal system which, having regard to the incidence of the connecting factors and of the circumstances generally, the contract appears most properly belong.

. In short the proper law is the legal system with which the contract has the **most substantial connection**.

.To determine the **existence of substantial connection** between a certain law and the contract, the following objective factors are relevant:

- the domicile and even the residence of the parties;
- the national character of the corporation and the place where its principal place of business is situated;
- the place where the contract is made and the place where it is to be performed;
- the style in which the contract is drafted, as for instance ,whether, the language is appropriate to one system of law ,but inappropriate to another;
- the fact that a certain stipulation is valid under one law but void under another; etc...

3. The Approach in The Rome Convention 1980

- .The proper law is determined in accordance with the rules laid down by Articles 3 and 4. These refer,
- .Primarily, to a choice of law **expressly agreed** on by the parties to the contract;
- .secondarily, to a choice of law **impliedly, but clearly, agreed** on by the parties; and
- . Finally, in default of any such choice, to the law of the country which is **most closely connected** with the contract, (Art.5)
- . i.e. the law of the country where the party who is to effect the performance which is characteristic of the contract has his habitual residence.
- .Incase of immovable property, the law of the situs of the property.

5.2.2 The Proper Law of the Contract in the Ethiopian Conflict of Law

- .The general rules governing choice of laws in contract cases in the Federal Draft conflict of laws Proclamation are stated in Art.73-75.
- .Under Art.73 (1) where the contract involves a foreign element, the parties are given the **right to choose the law applicable** to their contract.
- .Rationale is to respect legitimate expectation of the contracting parties.

- The parties however, are **not free to choose arbitrarily** any law of their liking.
- The law chosen by the parties must be :(Art.73)
 - The law of nationality or domicile of one or all of the parties.
 - The law of the place where the transaction is made
 - the law of the place where the performance is intended.

.How can we ascertain whether the parties have made a choice of law for their contract?

.Art73(2)

- By express selection of the law of a certain country or
- By express selection of a tribunal of certain country.
- Their intention to be subject to the law of a certain state **from the terms of the contract** may be identified by **interpretation**.

- **what if the parties choose a law which is not the law mentioned by art 73?**
- The provision does not clearly state the solution to this question.
- However under the other jurisdictions, the courts will declare the agreement invalid and it will be the default rules that would be applicable.
- So the default rules are the rules that the court would apply if the parties did not any choice.
- But it is better to expressly indicate this in the draft.

The governing law in default of choice by the parties (Art.74)

.The court will apply the law with which the contract is **most closely connected**.

.What matters should be taken in to account in determining the law of the place to which the contract is most closely connected. No indication in the Draft.

.The expression “*most closely connected*” in the provision is closer in meaning to the American Second Restatement expression, “*most significant relationship*” and that of art 4 of Rome convention “*most closely connected*”. So use the understanding in these laws.

.**Exception:** if the contract relates to the establishment or transfer of right in *rem* in immovable or movable property the law that has the closest connection is the law of the place where the property is situated.

5.2.3. Rules governing Particular Aspects of the Contract

- Important specific elements of the contract are:
 - Capacity of the contracting parties,
 - Consent,
 - Object and Form of the Contract.

.1. Capacity to contract

.In United States the question is governed by the law chosen by the parties, if they have made an effective choice.

.Otherwise, this question is determined by the law that has the most significant relation ship .

.In England **earlier** lex domicili or lex loci actus. (Both have defects)

.Currently: that capacity is regulated by proper law of the contract, provided that this expression is taken to mean the law of the country with which the contract is most substantially connected.

.Intention cannot here be allowed free play. A person cannot confer capacity up on himself by deliberately submitting himself to a law which factually the contract is unrelated.

.The capacity of both individuals and companies to contract is excluded from the scope of the **Rome Convention**. (forum law applies)

.Capacity Under the Federal Draft Conflict of Laws

.Capacity governed by law governing the legal relationship

.Under Art.45 it states that the general capacity of a natural person of exercising rights shall be governed by the law applicable to the matter to which such matter relates.

.The idea here is that, if the subject under discussion for instance, is contract, the law governing other substantive matters of the contract shall also govern the issue of capacity.

.Exception. As stated under Art.46 (1), an act performed by a person who would not have had the capacity to perform that act under his personal law shall be valid if he has capacity under the law of the country in which the act is performed.

.Exception to the Exception (Art.46(3): In matters relating to family law, succession and donation inter vivos capacity is not negotiable.

.Critics: this gives persons a chance to **artificially create a connection** with a certain foreign law in order to escape restrictions under their personal law.

.Unlike entering to contract, these are areas of law where the parties are not free to create a capacity for themselves by acting under different law other than their personal law.

.2. Consent and its vices

.what law governs whether a valid consent is given or not?

. **The English** Judges prefer the theory of the *lex loci contractus*.

Therefore, the law of the place where the last act constituting acceptance of the offer is made will be the governing law.

.Under the US 2nd Restatement section 201, the effect of misrepresentation, duress, undue influence and mistake upon a contract are determined by **the law chosen by the parties**, if they have made an effective choice.

.Otherwise, these questions are determined by the law which has the closest connection to the contract as determined by application of the rule of section 188.

.**Rome Convention** Article 8(1) of the provides that the existence and validity of a contract, or of any term of a contract, must be determined by the putative proper law of the contract (the law which would govern the contract under the Convention if the contract or term were valid). This applies both to questions of essential validity and to questions of formation.

.Under the Draft Federal Conflict of Laws proclamation (Art.80(1))

- In case of choice by the parties as to the governing law on substantial matters, the same law the formal requirements.
- In the absence of choice of the governing law by the parties, the law of the place where the contract is concluded will be the best candidate when it comes to formal requirements.
- In case contract between absent parties the contract will be valid if it conforms to the law of any one of the countries involved. (Art80(2))

.Exception (Art.80(3): For consumer contracts, employment contracts etc. if special form is provided under the rule governing them then that special form must be respected.

3. Illegality of the Object of the Contract

- .The second Restatement of conflict of laws in US section 202, effect of illegality shall be governed by the law chosen by the parties if they have made one.
- . But in the absence of effective choice by the parties the law that has the most significant relationship with the contract.
- .under the English conflict of laws, it is not possible exclusively to refer to the proper law. It is believed to be necessary to take account of other legal systems.
- .The contract which is illegal by its proper law cannot be enforced in England.
- .Secondly, no action lies in England upon a contract which infringes the distinctive public policy of English law.
- .Thirdly, a contract which is valid by its proper law does not become unenforceable in England merely because it is illegal according to the *lex loci contractus*.

5.3. Protected Contracts

- .What are protected Contracts?
- .In some contracts no equal bargaining power between parties and requires some protection for the weak. Such contracts are called protected contracts.
- .Eg. Employment, and consumer contracts.

.Consumer Contracts

- **Under Rome Convention** protected consumer contract (within the scope of Article 5), three special choice-of-law rules apply.
 - Firstly, by Article 5(3), in the absence of an express or implied choice of law by the parties in accordance with Article 3, the law of the consumer's habitual residence becomes the proper law.
 - Secondly, by Article 5(2), if there is an express or implied choice of law by the parties in accordance with Article 3, the choice remains effective to designate the proper law, but the proper law operates subject to the mandatory rules for the protection of the consumer as a weaker party contained in the law of his habitual residence.
 - Thirdly, by Article 9(5), the formal validity of a protected consumer contract is governed exclusively by the law of the consumer's habitual residence.

.Individual Contracts of Employment

.Rome convention under Article 6(2) determines the proper law of an employment contract in the absence of a choice of law made by the parties in accordance with Article 3.

.The primary rule, laid down by Article 6(2)(a), is that the proper law is that of the country in which the employee habitually carries out his work in performance of the contract, even if he is temporarily employed in another country.

.But if the employee does not habitually carry out his work in any one country, Article 6(2)(b) refers instead to the law of the country in which the place of business through which he was engaged is situated.

.Rules governing protected contracts Under the Federal Draft Conflict of Laws

.A. Consumer contracts

.Definition consumer contracts Art. 76

.Consumer contracts are contracts for goods and service which are for the current personal or family consumption or use of a consumer and which are not connected with the professional or business activity of the consumer

.Applicable law, Law of the consumers domicile.

.The draft proclamation prohibits any agreement that makes a governing law other than the law of domicile. This is what is provided under Art.76 (2) of the draft conflict of law proclamation.

·**B. employment Contracts** , Art.77.

·In similar way the Rome Convention, the draft law gives priority to **the habitual place of work of the employee**. This provision seems to have been inspired by the policy of protection to the weaker party in the contract, i.e, and the employee.